CORPORATE & INSTITUTIONAL

Financial Institutions Sentiment Survey 2026

Marking 10 years of insight

LLOYDS



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Foreword:

A decade in the making

Lisa Francis, Head of Corporate & Institutional Coverage

A decade in the making

Welcome to the tenth edition of the Lloyds Financial Institutions Sentiment Survey. A decade on from its launch, this feels like a natural moment to reflect on how the industry has evolved - and, more importantly, where it is heading.



When the survey first ran in 2016, the sector was bracing for a referendum, market volatility and the long aftermath of the financial crisis. The early years captured an industry in reset: rebuilding confidence, adapting to regulatory change and redefining its role in a shifting economic and political landscape.

This year's survey took place against a backdrop that, in some respects, will feel similar. Geopolitical tensions remained elevated throughout the fieldwork period, while firms assessed the potential implications of an uncertain domestic economic and political environment. By any measure, the conditions were in place for a cautious outlook.

Yet the headline findings point to something different: a sector looking beyond near-term uncertainty and positioning for growth. Drawn from more than 100 senior leaders across banks, insurers, financial sponsors, and asset and wealth managers, the results show confidence strengthening with time - as expectations rise across one, five and ten years.

That confidence is translating into action. Capital is being deployed with greater intent, and at the same time, belief in the UK as a leading global financial services hub has not just held, but strengthened materially.

Running through the findings is a clear view of the primary engine of future growth. Financial institutions consistently point to technological innovation as a driver of competitiveness and change. AI, data, tokenisation and digital infrastructure are already rapidly reshaping how firms operate, serve clients and create value.

What becomes clear is this: the decade ahead will not be defined simply by how institutions navigate uncertainty, but by how they anticipate and respond to it – adapting faster, investing earlier and scaling the capabilities that will shape the future of financial services. In this environment, how effectively firms translate technological change into commercial advantage is paramount to their success.

The findings that follow set out how these dynamics are taking shape, how financial institutions are responding, and why the UK is well positioned to lead in the next era of the industry's evolution.



Lisa Francis
Managing Director,
Head of CIB Coverage,
Lloyds Corporate & Institutional

Chapter 1:

Key findings

The key themes emerging from this year's results

Key findings

Six key findings frame the year ahead – each evidence of a sector deploying with sharper intent than a year ago.

64%
plan to increase capital expenditure year-on-year (vs 37% in 2025)

94%
expect business growth over the next 10 years (vs 81% in 2025)

77%
said investment in new or emerging technologies is the primary business growth lever (vs 41% in 2025)

71%
believe the UK will retain its position as a leading financial services hub (vs 60% in 2025)

91%
plan to increase AI investment over the next twelve months (vs 51% in 2025)

75%
believe tokenisation will have an impact on the future of financial services

Chapter 2:

The investment imperative

Why capital deployment is becoming a condition of competitiveness

The investment imperative

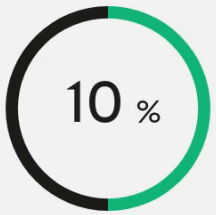
For much of the past decade, financial institutions have been adapting to external pressure: regulatory reset, global uncertainty, market volatility and the long process of rebuilding confidence after the financial crisis.

That period has shaped a sector used to operating and excelling through change. But this year's results suggest the task ahead is different. The next decade will depend not only on how well institutions navigate uncertainty, but by how quickly they can invest in the capabilities that will determine future growth.

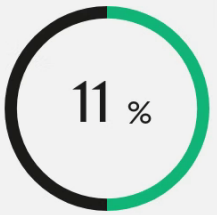
Looking back over the decade the Financial Institutions Sentiment Survey has run, institutions credit three forces with reshaping the sector most: regulation and compliance (66%), digital transformation (51%), and the entry of fintechs and non-traditional competitors (47%). Together, they tell the story of an industry that has had to adapt on multiple fronts - strengthening its foundations, modernising its operations and responding to new sources of competition.



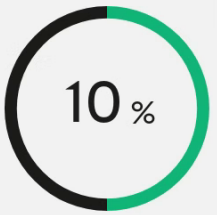
Drivers of most significant change in FS over the past decade



Regulation and compliance



Digital transformation



Entry of fintechs and non-traditional competitors

Expectation for growth



Click the graph above to zoom

Growth ambitions



Click the graph above to zoom

The year-ahead view sits in a noticeably different territory. While institutions have consistently become more confident the further ahead they look, this year's results show a clear step-up in growth expectations at every horizon: 67% of institutions expect their business to grow over the next twelve months (up from 54% in 2025), rising to 92% over five years (vs 83%) and 94% over ten years (vs 81%). The shape of confidence may be familiar, but the level is not: institutions are entering the next phase with a stronger growth outlook across the full forecast period.

What sits behind that confidence is more important. Investment in new and emerging technologies has surged to the number one growth lever, cited by 77% of respondents - a step change from 41% a year ago. Expansion within existing markets has risen from 47% to 60%, attracting and retaining talent from 36% to 55%, and a renewed focus on data and insights from 24% to 53%. They point to a sector preparing for growth by building capability across technology, markets, talent and data at the same time.

Capital is following the signal. Almost two-thirds of institutions (64%) plan to increase capital expenditure over the next twelve months, putting balance-sheet weight behind the strategic intent.

In this environment, investment is not simply a signal of confidence. It is increasingly imperative to keep pace with a market where expectations, technologies and competitive dynamics are rapidly transforming. Taken together, it is a sector responding to the new rules of growth: adapting faster, investing earlier and scaling the capabilities that will shape future advantage.



> “The rules of growth are being rewritten in real time. The defining feature of this year’s results is the clear consensus among respondents: firms are investing across technology, markets, talent and data simultaneously because they recognise that the basis of competition is changing across each of these fronts at once. Investment is no longer about signalling confidence; it is fundamental to maintaining your competitive edge over the next decade.”



Jeavon Lolay
Head of Market Insights,
Lloyds Corporate & Institutional

Chapter 3:

AI: the growth engine

From operational efficiency to strategic advantage

AI: the growth engine

If the new rules of growth have a single most powerful author, it is AI. No other technology in this year's survey reshapes the basis of competition more decisively.

When AI first featured prominently in the Financial Institutions Sentiment Survey three years ago, it was framed as a promising but largely speculative technology - interesting in principle, but still to prove itself in the institutional context. The pace at which that picture has shifted is one of the more striking arcs to read across the survey's recent history. This year, over nine in 10 (93%) institutions rank AI as the most impactful technology of the next five years - a clear sign that the conversation has moved decisively from possibility to expected outcome.





rank AI as the most impactful tech of the next 5 years

> "AI has crossed a threshold this year. The question is no longer whether it works, but how quickly we can embed it at scale. At Lloyds, that means investing in technology, talent and governance in parallel - because deploying AI responsibly is what turns capability into sustained value for customers and the UK economy."



Rohit Dhawan
Group Executive Director of Artificial Intelligence,
Lloyds Banking Group

What gives that ranking added weight is the capital behind it. Nine in 10 (91%) of institutions plan to increase AI investment over the next twelve months - a significant increase from 51% in 2025. This reinforces how the technology has moved from a line item to a strategic priority.

The benefits firms expect to see have also become more concrete. Lower operating costs, sharper customer insight and direct contribution to business growth are now cited as the headline aims - a more grounded set than the broader 'productivity' framing of two years ago. AI is being assessed against the same return criteria as any other capital deployment.

The view extends beyond the firm. Four-fifths (80%) of respondents believe advances in AI will drive UK economic growth, while 78% believe the UK needs to accelerate its national AI strategy to retain a global leadership position. The message to policymakers is clear: institutions are committing capital ahead of policy, and the framework now needs to match the pace at which the sector is moving.



13%

are increasing AI investment over the next 12 months (vs 51% in 2025)

Scaling AI through Envoy

Lloyds Banking Group is putting this shift into practice through Envoy, a new internal platform that provides teams with a secure, governed way to build, deploy and share AI agents across the organisation.

Find out more

Chapter 4:

The UK's position strengthened

How the UK's role as a global financial services hub is evolving

The UK's position strengthened

One of the clearest signals in this year's data is the continued confidence in the UK's role as a global financial services hub. Despite heightened global uncertainty, a large majority see the UK as offering the depth, infrastructure and expertise to support long-term growth.

Seven in 10 (71%) institutions believe the UK will retain its position as a leading global financial services hub, up from 60% in 2025 - a ten point uplift in a single year. The figure speaks to the depth of belief in the UK's underlying strengths: deep capital markets, robust regulation, international connectivity, and a legal and professional services framework that continues to draw global activity.

Crucially, that belief is matched by intent. The majority of respondents view the UK as an attractive market in which to invest and scale operations - a sign that the hub finding is not simply about prestige. It is being expressed as capital ready to be deployed here.

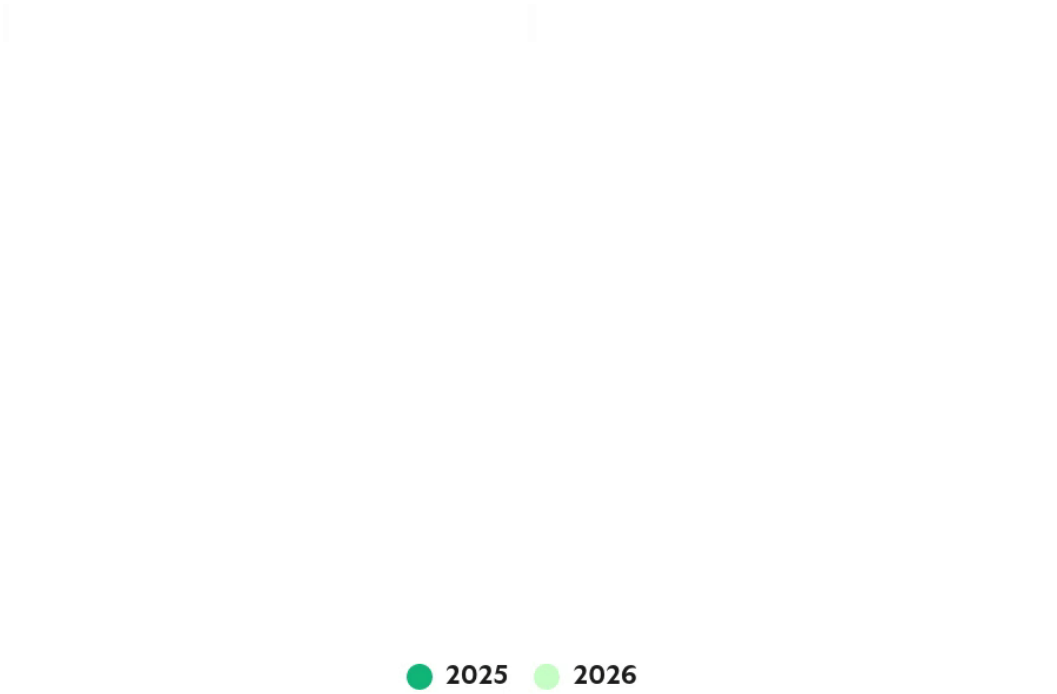


of institutions believe the UK will retain its leading global financial services hub status, up from 60% in 2025

But the UK's leadership is not assumed. Respondents are clear that its position has to be actively maintained, and that the conditions for competitiveness are changing.

When asked what would help cement the UK's position, the dominant lever is the UK's relationship with the European Union: 74% want to see this strengthened, up from 65% last year. Closely behind, 54% point to less restrictive regulation (vs 52% in 2025), 45% to better use of new and emerging technologies (vs 40% in 2025), and a further 43% cite initiatives that encourage more foreign direct investment (vs 58% in 2025). These priorities are not new: the same broad set of levers has consistently ranked among the highest-rated factors in the Financial Institutions Sentiment Survey over recent years.

Key factors to help maintain or enhance the UK's FS hub status



Click the graph above to zoom

The shift in the foreign direct investment figure is, however, particularly worth noting. It is not that institutions see the UK as a less attractive destination for inward capital. Rather, the focus has tilted toward the structural levers - trade relationships, regulation, technology - that will determine how far the position can be pushed.

The message is one of confidence, but also of expectation. The UK is strongly placed, but the next decade will reward financial centres that can adapt fastest to new patterns of capital, technology and competition.



Chapter 5:

Stronger international ambitions

Where institutions are looking for the next phase of growth

Stronger international ambitions

Where in the previous chapter we examined perceptions of the UK's international standing, this one looks at firm's outward ambitions - how institutions are approaching cross-border growth and which markets are attracting most attention.

Confidence in international revenue is strong: more than half of institutions (59%) expect overseas revenues to increase over the next five years. For many firms, the question is no longer whether to expand internationally, but where to focus.

The United States leads the map of intent, cited by 51% of respondents as an active investment market. Germany follows at 26%, Singapore at 21% and France at 20%. Taken together, this points to selective, capital-led expansion: institutions targeting markets that combine scale, structural growth and regulatory familiarity, rather than spreading investment thinly across geographies. Technology is also fundamentally changing how firms pursue international growth. Advances in AI, data infrastructure and digital settlement are reducing the friction of operating across borders - making it easier to understand markets, serve clients and scale propositions internationally. While this does not remove the need for local expertise, regulatory understanding or trusted relationships, it is widening the field of opportunity for firms with the capability to use it well.

> "This year's survey shows a more deliberate form of international expansion. The UK remains the home of many institutions, but increasingly it is also the base from which they intend to build growth across priority markets. In the new rules of growth, international ambition is becoming more focused, more capability-led and more closely connected to where firms believe they can compete at scale."



William Mansfield
CEO and Country Head, North America,
Lloyds Corporate & Institutional

Chapter 6:

Tokenisation: from concept to application

How new market infrastructure is moving into practical use

Tokenisation: from concept to application

If AI is rewriting the rules in plain sight, tokenisation is doing the same to the plumbing beneath them - the second of two market-infrastructure shifts where belief is hardening into deployment.

Just under half (41%) of institutions expect tokenisation to have a significant or transformational impact on financial services. The weight sits firmly on 'significant' (30%) rather than 'transformational' (11%), which is itself a meaningful read: institutions see this as a real and material shift in how markets function, but a structural improvement rather than a wholesale rebuild.

Where the data really comes alive is in the use cases. Asked where tokenisation will deliver value, respondents are increasingly specific. Payments and settlement speed leads at 60%, reflecting the most immediate operational gain. Collateral and liquidity management follow at 41%, with tokenised deposits and cash instruments at 39%. The progression from generic enthusiasm to specific application is the story of the chapter: tokenisation is no longer a concept tested in lab conditions but a set of identified, costed opportunities.

Expected impact of tokenisation on financial services

Top 3 areas where tokenisation will benefit businesses

Click the graphs above to zoom

Lloyds is building against precisely this trajectory. The Lloyds-Archax tokenised deposits collaboration applies digital ledger infrastructure to one of banking's foundational instruments - a working proof point that the move from concept to application is already underway. Lloyds is today actively developing our clients top ranking use cases.

Read alongside the AI findings, the message converges. The two market-infrastructure conviction bets of the year - AI and tokenisation - are both moving from belief to deployment, and both have named, working proof points behind them.



> “Tokenisation is moving from theory into practical application. The opportunity is not simply to create new digital assets, but to improve how financial markets operate - making settlement faster, liquidity more efficient and core processes more connected. The important test now is whether the industry can turn promising use cases into scalable, trusted infrastructure.”



Peter Left
Head of Digital Assets,
Lloyds Banking Group

Chapter 7:

Sector spotlight

A view from insurers, asset & wealth managers, global banks and financial sponsors

Sector spotlight

As part of this year's Financial Institutions Sentiment Survey, we take a deeper look at the opportunities and issues specifically impacting insurers, asset and wealth managers, global banks, and financial sponsors.



Browse the following topics:

Insurers

Asset & Wealth Managers

Global Banks

Financial Sponsors

Naviagate right to view all topics



Insurers

This year, insurers are showing real discipline, but also a clear appetite to act.

Maintaining strong buffers to meet regulatory and stress-testing requirements emerged as the clear priority. At the same time, that discipline is shaping how insurers are deploying capital. Firms pointed first to yield enhancement within fixed income and credit, with liability-driven strategies also ranking highly.



> “Insurers across the spectrum are operating in a more complex environment, where capital strength, liquidity resilience and disciplined risk management are central to long-term growth. The priority is not simply growth, but building balance sheets that can withstand stress while continuing to deliver stable outcomes. Life insurers in particular, where pension risk transfer continues to reshape the market, are taking on a more strategic role in deploying long-duration capital and supporting the wider economy through investment.”



Christian De Monte
Managing Director,
Head of Insurance and Group Subsidiaries,
Lloyds Corporate & Institutional

Back to sector spotlight

Asset & Wealth Managers

For asset and wealth managers, this year's defining themes are scale and access.

On private markets, firms pointed to two clear priorities: partnering with specialist managers or platforms, and improving distribution and client access. And as consolidation continues across the sector, most firms expect limited direct impact on their own strategy over the next 12 months. But for those expecting change, bolt-on acquisitions were the most common next step.



> "Asset and wealth managers are being reshaped by the twin forces of private-market demand and consolidation. Clients want more sophisticated access, greater transparency and stronger execution, while firms are looking for scale, specialist capability and deeper strategic partnerships. This is moving the industry beyond simple product distribution towards more institutional, origination-led models where long-term alignment and differentiated access are becoming key measures of success."



Tangwena Nelson
Managing Director,
Head of Asset & Wealth Managers,
Lloyds Corporate & Institutional

Back to sector spotlight

Global Banks

For global banks, some of the clearest opportunities from this year's survey are in trade finance and payments - two areas where technology can remove friction from core banking activity.

In cross-border payments, reducing cost and friction across payment corridors came through as the top priority. And in trade finance, digitalisation and automation of trade processes stood out as the greatest opportunity.



> “Global banks are under pressure to make core transaction flows faster, simpler and more efficient. Cross-border payments and trade finance remain areas where clients feel friction most directly, so digitalisation is increasingly focused on practical outcomes: reducing manual processes, improving certainty and supporting better working-capital management. The opportunity is not technology for its own sake, but more connected infrastructure that helps clients move money, manage risk and trade with greater confidence.”



Chris White
Managing Director,
Head of Global Banks & Specialist Finance,
Lloyds Corporate & Institutional

Back to sector spotlight

Financial Sponsors

Financial sponsors are adapting to a more complex deal environment with a more flexible toolkit. As firms look for new sources of capital, broadening the LP base across geographies and investor types emerged as the top priority.

At the same time, when asked how liquidity and exit activity is expected to evolve, sponsors placed equal importance on greater use of secondary transactions and continuation funds, and increased exit activity through strategic sales.



> “Financial sponsors are navigating a market where liquidity, fundraising and portfolio growth all require a more strategic approach. Broadening the Limited Partner base is becoming increasingly important as firms look to diversify sources of capital, while secondaries and continuation funds are playing a bigger role in creating liquidity solutions. Fund finance is no longer a narrow product conversation; it is becoming part of the infrastructure that supports sponsors as they scale into more sophisticated, multi-asset platforms.”



Jill Wilson
Managing Director,
Head of Financial Sponsors,
Lloyds Corporate & Institutional

Back to sector spotlight

LLOYDS

Summary:

The next ten years

Where the opportunities lie over the next decade for financial institutions

The next ten

A decade on from its launch, this year's survey captures a sector that is not standing still, but actively repositioning for what comes next.

Growth expectations are strengthening over time, capital is being deployed with greater intent, and confidence in the UK's role as a leading global financial services hub has materially improved.

Across the findings, institutions are aligning around a common set of priorities: investing in technology, building capability in data and AI, and modernising the infrastructure that underpins financial markets. These are no longer future considerations – they are shaping how firms compete today.

What distinguishes this moment is not just confidence, but preparedness. The data points to a sector that is already acting: investing earlier, focusing more deliberately and building the capabilities required to sustain growth in a more competitive and fast-moving environment. For financial institutions, that raises the bar. The next decade will favour those that can move at pace, deploy capital with discipline and translate technological capability into clear commercial outcomes.



At Lloyds, we see this shift first-hand through our work with clients across all sectors of the economy. Supporting that transition – whether through investment, insight or access to expertise – is where we are focused.

The opportunity ahead is significant. But it will not be realised evenly and will favour those with the clarity to act early and the capability to follow through.

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Methodology

To gather representative data, 101 decision makers at a cross section of financial institutions were surveyed between 13 April and 19 May 2026. For more information speak to your relationship manager or use our contact pages for specialist support. Please contact us if you would like this information in an alternative format such as Braille, large print or audio.

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